

In the bear market of 1929-1932, the percentage of bonds outstanding that were at risk of default was relatively low. The next depression, however, will cause countless bond issuers to default, even ones that today sport impeccable ratings and appear unquestionably sound. How could bond defaults surprise even the rating services? Consider that the Orange County (CA) bankruptcy in December 1994 was the largest municipal bankruptcy ever. Bondholders are stuck with \$1.5b. worth of paper. In all the ink spilled over the event, one sentence (from *USA Today*) stands out as being of quintessential importance to practical planning: "The nation's premier bond ratings services, Standard & Poor's and Moody's, had described the county fund as one of the best-run in the nation." In other words, the fund went from AAA-rated to bankrupt, with no intervening rating. Regardless of what the rating services might say in their defense, the fact is that they are not taking into account many crucial factors. In the Orange County case, it was a high percentage of leveraged derivatives. In upcoming cases, it will be the developing depression. The ideal service for investors would rate bonds risky at a top, when it is the best time to sell, and attractive at a bottom, when it is time to buy. Bonds were at a top in 1993 and should have been at their lowest rating *then*. However, services base their ratings not on market analysis, but on fundamentals, which lag prices. Because of this practice, they are doomed to announce changes far behind the market, a result that rarely fails to produce the largest number of upgrades as the market recovers and a dramatic culmination of downgrades as the market approaches a bottom. The forces that will soon propel the U.S. into depression will devastate bond prices, and along the way, bond ratings.

Rising interest rates in a deteriorating economy will be a complete mystery to most investors. Consider that for two years, economists have uniformly applauded the environment of moderate economic growth with low inflation, *yet bonds had their worst thirteen month decline of the century last year anyway*. Labor Secretary Robert Reich said on January 3, 1994, "There is no basis, either in meaningfully higher inflation or in much greater credit demand, to expect that interest rates would rise in a sustained way this year." Interest rates promptly rose a record percentage for *any* single year. The fact that bond prices fell so hard even though everyone can see that inflation is not a problem and that runaway credit demand is not a problem *means that there is another problem*. The bear market in bonds will develop not on fear of inflation, but on fear of deflation and depression, which is precisely why so many will err in